EXECUTIVE SUMMARY

I. Introduction

Rizal is Cagayan's epic town, where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The Municipality is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Rizal (LGU Rizal) for CY 2023 and was aimed at determining whether management presented fairly the financial statements of the LGU in adherence to the generally accepted accounting principles, whether prevailing laws, rules and regulations have been complied with and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position and the results of operations, of the LGU Rizal for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Accounts	2023	2022	Increase (Decrease)
Financial Position			
Total Assets	P 299,606,788.12	P 299,901,040.54	P (294,252.42)
Liabilities	P 111,869,314.66	P 130,365,225.35	P (18,495,910.69)

Accounts	2023	2022	Increase (Decrease)
Total Government Equity	P 187,737,473.46	P 169,535,815.19	P 18,201,658.27
Results of Operations			
Total Income	P 136,842,656.46	P 143,289,819.88	P (6,447,163.42)
Total Expenses	P 120,227,627.92	P 119,664,378.18	P 563,249.74
Net Income	P 16,615,028.54	P 23,625,441.70	P (7,010,413.16)

IV. Operational Highlights

The LGU Rizal is headed by the Municipal Mayor, Honorable Joel A. Ruma and Vice-Mayor, Honorable Brenda B. Ruma. For CY 2023, the LGU had a total of 160 personnel complement, with 68 permanent, 12 elective, 2 co-terminus and 78 job order status.

The following infrastructure projects of the LGU were completed in CY 2023:

Projects	Location	Total Cost Incurred
Construction of New Barangay Health Station with Provision of Water System	Masi	P 2,497,000.00
Opening With Concreting of Farm to Market Road	Bural	3,994,431.11
Improvement of Municipal Gymnasium	Poblacion	407,890.97
Improvement of Bural Integrated School Mini Gym	Bural	328,231.79
Construction Of New Barangay Health Station with Provision of Water System	Bural	2,497,000.00
Construction / Installation of Level Ii Portable Water System	Masi	3,891,816.54
Construction Of 'Campana' Bridge	Gaggabutan West and Nanauatan	89,993,317.07
Total		**P 103,609,687.48**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fair presentation of the financial statements of the LGU Rizal for the year-ended December 31, 2023, due to: *a) erroneous recording of disbursements of fund transfers received from different NGAs and b) the erroneous recording of the LGU's share from the collection of tobacco excise taxes under the account Due to NGAs, instead of the Share from Tobacco Excise Tax account.*

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2023 other than the bases for the modified opinion that needs immediate attention and action by the LGU Rizal are as follows:

1. **Fund transfers received by the LGU Rizal from different National Government Agencies (NGAs) and other Local Government Units (LGUs), totaling to P8.593 million remained unliquidated as at year-end, despite the fulfillment of its purpose. Moreover, unutilized balance totaling P0.378 million were not returned to the Source Agencies (SA).**

   We recommended that Management expedite the preparation of the liquidation reports and immediately submit the same to the Source Agencies. Likewise, cause the return of the unutilized balances of the fund to prevent possible misuse.

2. **The Local Disaster Risk Reduction and Management (LDRRM)-Mitigation Fund for CY 2023 amounting to P5.028 million was not optimally utilized and only the amount of P1.429 million or 28.42 percent of such fund was expended.**

   We recommended that Management, through the MDRRMO together with the concerned implementing offices, enforce the full implementation of the unimplemented projects, programs and activities (PPAs), to fully support the objectives of the disaster risk management activities of the LDRRM Council.

3. **The Municipality was not able to implement 29 Projects, Programs and Activities (PPAs) with a total appropriation of P30.4 million, funded under the 20% Development Fund (DF) of the LGU as at year-end.**

   We recommended that Management:

   a) ensure that all identified development projects embodied in the Annual Investment Program are supported with concrete plans and designs, without any hindering issues and procurement-and-implementation-ready, including conduct of detailed engineering for infrastructure projects, in order to complete them within the target completion date to maximize the benefit for its intended beneficiaries;

b) prepare a holistic and comprehensive but realistic catch-up plan, after conducting proper monitoring and follow-up activities, to expedite the project implementation of PPAs funded especially from prior years' appropriation, which are still at the agency pipeline, to reduce backlogs; and

c) consider the need for reprogramming of the PPAs from prior years' appropriations, where necessary, after determination of a more relevant and responsive and procurement-and-implementation-ready projects that may be included under the 20% Development Fund of the Municipality in adherence with applicable laws, rules and regulations.

4. Appropriation under the 20% DF includes a lumpsum or generic term of projects totaling to P4.92 million without specific/itemized details.

We recommended that the Management endeavor to:

a. require the Municipal Development Council to specify the details of the identified priority projects to be charged under the 20% DF in the total amount of P4,919,886.00, including project location, specific implementation schedule, and physical target.

b. in the event that specific/itemized details of the project could not be identified during the budget preparation, seek the approval of the Sanggunian before the implementation of a specific project.

VII. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance January 1, 2023	Issued During the Year	Settlement During the Year	Ending Balance, December 31, 2023	% of Settlement
Suspensions					
Prior Years	P 15,304,278.96	-	-	P 15,304,278.96	0.00%
Current Year	-	-	-	-	0.00%
Total	**P 15,304,278.96**	**-**	**-**	**P 15,304,278.96**	**0.00%**
Disallowances					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	**0.00%**
Charges					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	**-**	**-**	**-**	**-**	**0.00%**

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2022 Annual Audit Report are summarized as follows:

Implemented		7
Not Implemented	5	
Not Implemented and Reiterated in CY 2023 AAR	5	10
Total		**17**